

to hearten and inspire his associates and subordinates. However, habitual optimism and enthusiasm can be carried to dangerous—and

72

even disastrous—extremes of overestimation and overzealousness.

I recall the case of a brilliant and highly capable businessman—Bill Smith is as good a name for him as any—

whose optimism helped him greatly in establishing and operating several manufacturing firms that showed good profits and great promise. Unfortunately, all of Bill Smith's business experience was obtained during a boom period.

Consequently, his rosier outlooks and hopes were always realized by developments in what was a steadily rising market.

Then, suddenly, there was a relatively mild economic recession. It was a time when seasoned businessmen pulled in their horns somewhat, did a little retrenching and proceeded cautiously while they waited for the business situation to become stabilized.

Bill Smith was totally unable to adjust to what, for him, were new and unfamiliar conditions. His habits of optimism and enthusiasm were too deeply ingrained. Instead of applying his brakes, he continued to move at full speed, supremely confident that everything would turn out fine.

Within a very short time, Smith had bitten off far more than he could chew under the business conditions that then prevailed. He overextended himself and his companies and eventually went bankrupt.

It is the widespread custom to say that people "develop"

good habits and "fall into" bad ones. The implication, of course, is that the former are difficult to achieve, that the individual must make a constant conscious effort to form them, while he will slide easily and effortlessly